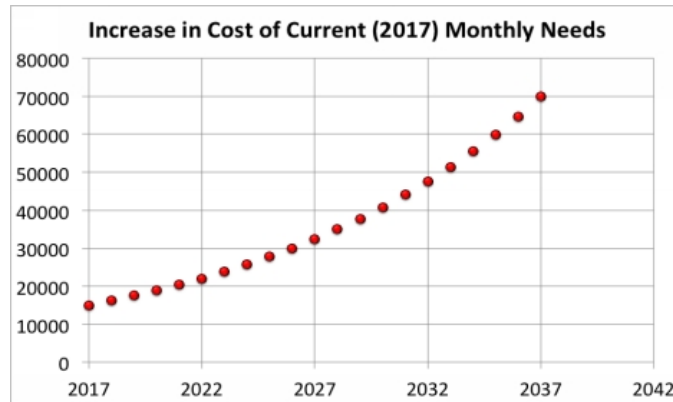




Looking at the graph, you'll note that prices increase to ridiculous amounts from 2030 onward for basic necessities. But what about those dreams we had upon graduation - big home, flexible job, travel plans? Plus, we are likely to have family additions, new technology and new needs too, instigating a lifestyle creep. In-fact, the actual increase in monthly expenses would be much higher than the graph-model.

The arsenal of weapons that we have, to counter inflation are very limited. You could do the tried and tested, '*earn in a foreign currency*' for a number of years, come back and live like a prince. If that's not you, then investing is the bike that can help you de-lever inflation.

With many things in life, we need a reference or a benchmark. When it comes to investing, **inflation is the key benchmark**. Since investing is for personal expenses, our efforts need to better expense-inflation.

To put a number, it would be safe to assume an inflation rate of at least 6%. Although, to be more realistic 8% is the rate at which basic expenses increase. Keeping 8% as our benchmark would mean factoring in our starry-eyed dreams into the calculations.

With a benchmark of 8%, the goal is to grow money (after taxes) at a rate greater than this. So the *net return* from your investments should be about 9-10% (after taxes). With no banks offering savings or fixed deposit rates anywhere near 10% (post tax), investing is quintessential to keep up the lifestyle.

As a wise man once said, "*Investing is nothing more than common sense, once we recognize the demolishing power of inflation.*"